

Axis Bank Ltd

AXISBANK · Financials

ROE

15.8%

ROCE

2.5%

Net Profit Margin

22.7%

Debt-to-Equity

8.25

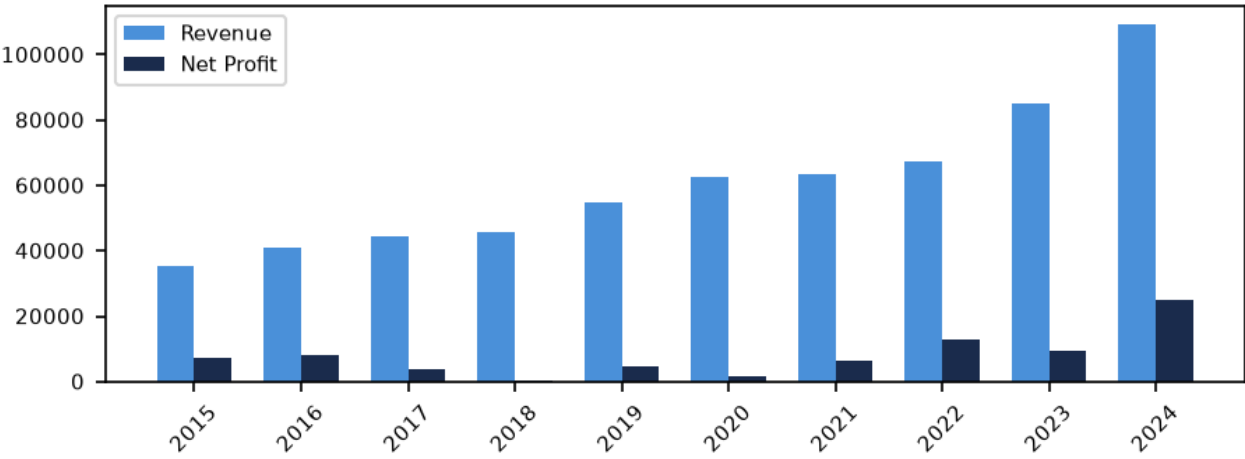
Revenue CAGR (5yr)

14.7%

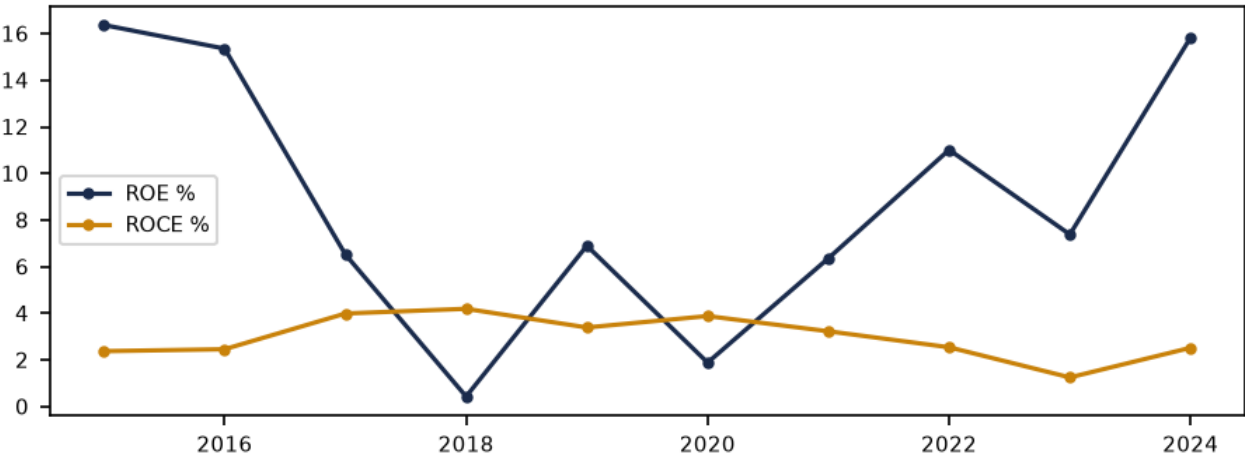
Free Cash Flow

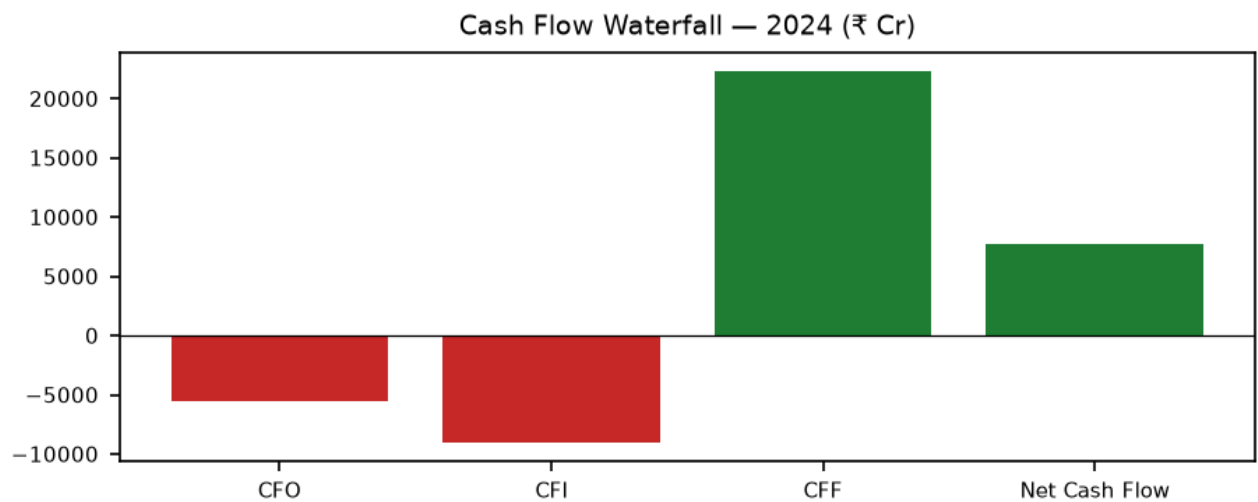
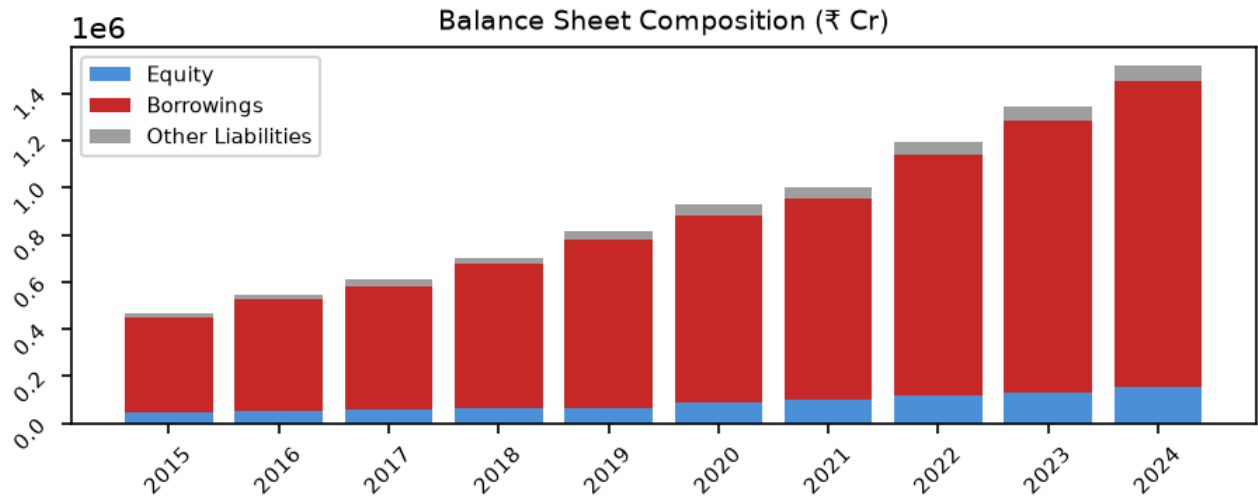
■ -14,556 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Distress